Compensation bonds are bonds issued by the government to affected persons by its policy decision. For example, government abolished Zamindari system and to compensate their loss, the government issued bonds. These bonds were made to be converted into money in the future and are of long term nature.

9. Non-negotiable, Non-interest Bearing Securities Issued to International Financial Institutions

These securities are issued to international financial institutions like World Bank, Asian Development Bank. They are non-negotiable which means they cannot be sold to others by security holders and can be redeemed only from the issuing authority.

R.2.1.I. B. External Borrowings

Money borrowed from outside the country from various sources and instruments is called external borrowing. They are classified as multilateral and bilateral loans.

R.2.1.I. B.a. Multilateral Loans

These are loans received from multilateral agencies like IMF, World Bank. Unlike non-negotiable, non-interest bearing securities issued to international financial institutions, these are not borrowed against securities.

R.2.1.I. B. b. Bilateral Loans

These are loans raised from foreign governments and foreign government bodies directly.

R.2.1.II. Other Liabilities